

Service Agreement — Confidentiality, Penalties, and Risk Allocation

Effective Date: August 15, 2026

This Service Agreement is entered into between **Arjun Mehta**, residing in Pune, Maharashtra ("Client"), and **BluePeak Solutions Pvt. Ltd.**, represented by **Neha Sharma**, having its principal office in Mumbai, Maharashtra ("Service Provider").

1. Scope of Agreement

The Service Provider agrees to provide software development and technical support services to the Client for a period of six months. The Client agrees to provide all necessary information, access, and payments required for the completion of the services.

2. Payment Obligations

The total contract value is **₹2,40,000**, payable in three installments:

- ₹80,000 upon signing this Agreement.
- ₹80,000 upon completion of the initial development phase.
- ₹80,000 upon final delivery and acceptance.

If the Client fails to make a payment within **15 days** of its due date, the Service Provider may charge a late-payment penalty of **2% of the outstanding amount per month**.

3. Confidentiality

Both parties may receive confidential information belonging to the other party, including business plans, source code, customer information, financial information, technical documentation, and passwords.

Neither party shall disclose confidential information to any third party without prior written consent.

A party that intentionally discloses confidential information may be required to pay damages of up to **₹1,00,000**, in addition to any other remedies available under applicable law.

4. Delay Penalty

The Service Provider agrees to deliver the completed software within **120 days** from the Effective Date.

For each week of delay caused solely by the Service Provider, the Client may deduct **₹5,000 per week** from the final payment, subject to a maximum deduction of **₹25,000**.

The delay penalty shall not apply where the delay results from circumstances outside the Service Provider's reasonable control, including natural disasters, government restrictions, major infrastructure failures, or delays caused by the Client.

5. Intellectual Property Risk

Upon receipt of all outstanding payments, the final software developed specifically for the Client shall be transferred to the Client.

The Service Provider retains ownership of its pre-existing libraries, frameworks, development tools, and reusable components.

The Client acknowledges that unauthorized modification or redistribution of third-party software included in the project may create legal or financial risks for the Client.

6. Data Security and Privacy Risk

The Service Provider shall take reasonable measures to protect Client data against unauthorized access, alteration, or disclosure.

The Client understands that no electronic system can be guaranteed to be completely secure.

If a security incident occurs due to the Service Provider's proven negligence, the Service Provider shall promptly notify the Client and take reasonable steps to reduce the resulting damage.

7. Limitation of Liability

Neither party shall be liable for indirect, incidental, or consequential losses, including loss of anticipated profits, business opportunities, or reputation, except where such limitation is prohibited by applicable law.

The maximum aggregate liability of either party under this Agreement shall generally not exceed the total amount paid under this Agreement during the preceding six months.

8. Termination

Either party may terminate this Agreement by providing **30 days' written notice**.

A party may terminate the Agreement immediately if the other party:

1. Commits a material breach and fails to correct it within 15 days after receiving written notice.
2. Becomes insolvent or ceases normal business operations.
3. Intentionally discloses confidential information.
4. Engages in fraudulent or unlawful conduct related to the Agreement.

Upon termination, all undisputed outstanding payments shall become immediately payable.

9. Risks to the Client

The Client acknowledges the following potential risks:

- The final delivery may be delayed.
- Software may contain undiscovered technical defects.
- Third-party services may become unavailable or change their pricing.
- Unauthorized disclosure of confidential information may cause financial or reputational damage.
- Failure to maintain account credentials securely may expose Client data to unauthorized access.
- Changes in legal or regulatory requirements may require additional development work.

10. Risks to the Service Provider

The Service Provider acknowledges that:

- Failure to meet agreed deadlines may result in financial penalties.
- Breach of confidentiality may result in claims for damages.
- Failure to protect Client data may expose the Service Provider to legal and financial consequences.
- Failure to deliver the agreed functionality may result in termination of the Agreement.
- Misuse of third-party intellectual property may create liability for the Service Provider.

11. Dispute Resolution

The parties shall first attempt to resolve any dispute through good-faith negotiations.

If the dispute cannot be resolved within **30 days**, the parties agree to seek resolution through arbitration in **Mumbai, Maharashtra**, subject to applicable law.

12. Governing Law

This Agreement shall be governed by the laws applicable in **India**. The courts having appropriate jurisdiction in Mumbai, Maharashtra shall have jurisdiction over matters arising from this Agreement, subject to the arbitration provisions above.

13. Acknowledgment

By signing this Agreement, both parties confirm that they have read and understood the terms, including the penalties, obligations, limitations of liability, and risks described above.

Client:

Arjun Mehta

Signature: _____

Date: _____

Service Provider:

Neha Sharma

For BluePeak Solutions Pvt. Ltd.

Signature: _____

Date: _____